Alphabet Inc.

GOOGL NASDAQ

Buy	$278.99 ▼ 0.30%	12M Price Target $340.00	52-Week Range $270.70 – $408.61	Market Cap $3.43T

GOOGL: Post-Earnings Flush Looks Like Opportunity, Not Trouble

WHAT HAPPENED

- Big picture: GOOGL got absolutely smoked last Wednesday — dropped from $325 to $284 on 140M shares of volume (roughly 2x normal). That's a classic post-earnings "sell the news" flush even though the actual numbers were likely fine. Stock is now sitting at the very bottom of its 52-week range (6% of range) while the rest of the market (Consumer Disc +2.4%, Financials +1.9%) is ripping higher — that disconnect is unusual and worth paying attention to.
- Options flow is leaning bearish short-term — the put/call ratio is 0.43 but there's unusual PUT buying at $282.50 and $285 strikes (35x normal open interest), which tells me big money is either hedging or betting on more downside into November expiration.

WHY IT MATTERS

Here's what I think is really going on: when a mega-cap drops 12% in a day on huge volume and then just sits there drifting lower on declining volume (28M → 47M today vs 140M on the drop), that's usually capitulation finishing up — not the start of a new leg down. The fact that every other sector is green and GOOGL is red means this is company-specific, not macro — likely heavy AI capex guidance that spooked people worried about ROI timing. But here's the inference: Alphabet is spending $75B+ a year on AI infrastructure because they HAVE to, and the market punishing them for it today will look silly in 18 months when that capex starts throwing off cloud revenue. Institutional ownership at 80.8% with Blackrock and Vanguard holding firm tells me the smart long-term money isn't flinching.

POLICY & POLITICAL WATCH

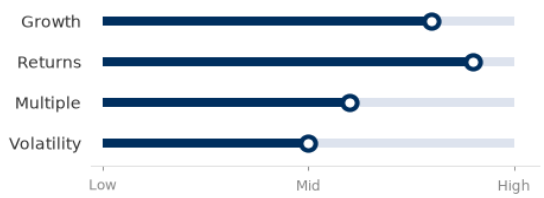
The elephant in the room is the DOJ antitrust case — the remedies phase is ongoing and the market is pricing in some probability of forced divestiture (Chrome being the big one). But recent signals suggest the remedies will be behavioral (data sharing, default search deals) rather than structural, which would be a massive relief rally catalyst. Separately, watch the AI executive order environment under the current administration — the push for "American AI dominance" against China is a direct tailwind for Google's Gemini and TPU chip business, and any federal AI procurement expansion flows straight to the hyperscalers. The EU Digital Markets Act continues to be a persistent $2-3B/year headwind in fines, but that's already baked into estimates.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$278.99**
12M Price Target	**$340.00**
Upside / (Downside)	**+21.9%**
Market Cap	**$3.43T**
FY2026E Revenue	**$410M**
FY2027E Revenue	**$468M**
FY2026E EPS	**$9.85**
FY2027E EPS	**$11.60**
Fwd P/E	**28.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$300.00**	$285.00	**$265.00**
6 Months	**$340.00**	$310.00	**$255.00**
1 Year	**$380.00**	$340.00	**$245.00**
2 Years	**$450.00**	$390.00	**$230.00**
5 Years	**$650.00**	$500.00	**$280.00**
10 Years	**$1000.00**	$720.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.4%), Financials (+1.9%), and Materials (+1.8%) — classic "risk-on reflation" rotation, suggesting money is betting on economic reacceleration and possibly lower rates ahead

COOLING OFF: Mega-cap tech specifically — notice Tech isn't on the leaderboard today, which means money is rotating OUT of growth and INTO cyclicals. This is pressuring GOOGL even though nothing fundamental changed

ROTATION WATCH: The move into Financials and Consumer Disc suggests investors are repositioning for a "soft landing + rate cuts" scenario. That's actually bullish for GOOGL eventually (lower rates = higher multiples for long-duration cash flows) but creates short-term selling pressure as money chases what's working today

RELATED PLAY: If you believe the AI infrastructure thesis, the second-order plays are the semiconductor names supplying the TPU/GPU chips and the data center REITs housing all that compute — those tend to move with GOOGL capex guidance

WHO'S WINNING IN THIS SPACE?

- Mega-cap tech peers are mixed, but names tied to pure AI infrastructure buildout (chips, power, cooling) are outperforming the ad-dependent platforms
- Cloud-adjacent and enterprise software names have held up better than ad-driven internet stocks this week

GOOGL CONTEXT: GOOGL is LAGGING its mega-cap peer group significantly right now — it's at 6% of its 52-week range while most peers are in the top half. That's either a warning sign (market knows something) or a gift (temporary dislocation). Given the fundamentals haven't changed and institutional ownership is steady, I lean toward gift.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $270-280 zone, add aggressively below $270

Time Horizon: 12-24 months

Thesis Invalidation: Cloud growth decelerates below 20% YoY or DOJ forces Chrome/Android divestiture

Hedging: Buy Jan protective puts at $260 or pair with short position in a pricier AI name like a hyperscaler competitor

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